



bp Annual Report and Form 20-F 2024



Growing shareholder value

We are fundamentally resetting bp's strategy. We are reallocating capital to drive growth from our highest returning businesses. And we are focused on driving improved performance.

This is all in service of growing long-term shareholder value.

We believe bp has a compelling investor proposition, sustainably delivering long-term shareholder value through the energy transition, see **page 19**.

Our reset strategy

We plan to grow the upstream, focus the downstream and invest with discipline in transition, see **page 8**.

Navigating this report

Read more on another page of this report

Read more online

Task Force on Climate-related Financial Disclosures (TCFD)
Information that supports TCFD Recommendations and Recommended Disclosures in relation to Metrics and Targets is indicated with TCFD.

Glossary
Words and terms marked with ★ are defined in the glossary on **page 351**

More information

Online quick read
A concise summary of the *bp Annual Report and Form 20-F 2024*, highlighting strategy, performance and sustainability information.

bp.com/annualreport

Online reporting centre
All our bp corporate reports, including the *bp Sustainability Report* and the *bp Energy Outlook*.

bp.com/reportingcentre

2024 at a glance

As at 31 December 2024

Scale

100,500[a]
employees
(2023 87,800)

61
countries of operation
(2023 61)

2.4
million barrels of oil equivalent – upstream★ production
(2023 2.3mmboe/d)

>39,000
electric vehicle charge points★
(2023 >29,000)

21,200
retail sites★
(2023 21,100)

Performance

$0.4bn
profit for the year attributable to bp shareholders
(2023 $15.2bn)

$8.9bn ●
underlying replacement cost (RC) profit★
(2023 $13.8bn)

95.2% ●
bp-operated upstream plant reliability★
(2023 95.0%)

94.3% ●
bp-operated refining availability★
(2023 96.1%)

2,950
strategic convenience sites★
(2023 2,850)

8.2GW
developed renewables to FID★ (net)
(2023 6.2GW)

$6.17/boe ●
upstream unit production costs★
(2023 $5.78/boe)

Safety and sustainability

38 ●
tier 1 and 2 process safety events★
(2023 39)

33.6MtCO$_2$e ●
GHG emissions – operational control
(2023 32.1MtCO$_2$e)

Key

● Key performance indicator, **page 14**

a This figure reflects new acquisitions and companies we have taken full ownership of including bp bioenergy and Lightsource bp.

★ See glossary on **page 351**

Strategic report

2024 at a glance	1
About bp	2
Chair's letter	4
Chief executive officer's letter	5
The operating environment	6
Energy outlook	7
Our strategy	8
2024 performance	9
Consistency with the Paris goals	10
Our business model	12
Key performance indicators	14
Our financial frame	18
Our investment process	20
Group performance	24
Gas & low carbon energy	28
Oil production & operations	31
Customers & products	33
Other businesses & corporate	36
Sustainability	38
Climate-related financial disclosures (TCFD)	42
Our approach to sustainability	56
How we manage risk	61
Risk factors	65
Compliance information	68
Non-financial and sustainability information statement	68
Section 172 statement	68

Corporate governance

Introduction from the chair	70
Board of directors	72
Leadership team	74
Governance framework	75
Board activities	76
Our stakeholders	78
Key decisions	79
Safety and sustainability committee	80
Audit committee	82
People, culture and governance committee	86
Remuneration committee	88
Directors' remuneration report	88
Other disclosures	111
Directors' statements	112

Financial statements

Consolidated financial statements of the bp group	115
Notes on the financial statements	145
Supplementary information on oil and natural gas (unaudited)	223
Parent company financial statements of BP p.l.c.	251

Additional disclosures	311
Shareholder information	341
Glossary	351
Non-IFRS measure reconciliations	360
Signatures	364
Cross-reference to Form 20-F	365
Information about this report	366
Exhibits	366

About bp

We are an integrated energy company, one of only a few that can deliver energy at global scale through a decades-long energy transition.

We are in action to grow shareholder value, strengthen bp and build our resilience to deliver energy to the world, today and tomorrow.

We have operations in Europe, North and South America, Australasia, Asia and Africa.

Our purpose

Our purpose is to deliver energy to the world, today and tomorrow.

Who we are

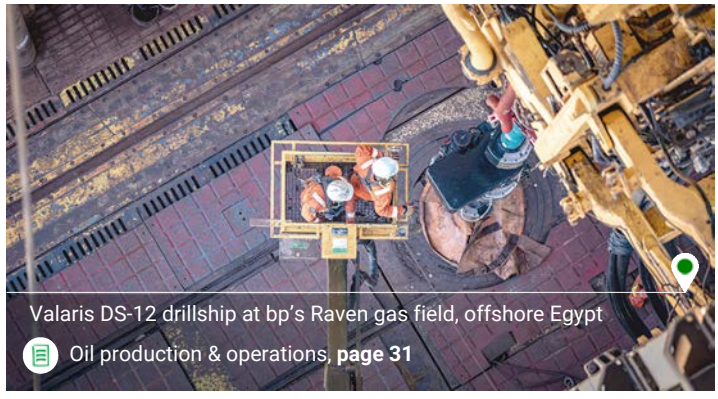
'Who we are' defines what we stand for at bp, building on our best qualities and those things that are most important to us. It comprises three simple beliefs that can inspire each of us at bp to be our best every day: live our purpose, play to win, care for others.

bp.com/ourbeliefs



Block 61 Khazzan gas field in Oman

Gas & low carbon energy, **page 28**



Valaris DS-12 drillship at bp's Raven gas field, offshore Egypt

Oil production & operations, **page 31**

Financial reporting segment performance

At 31 December 2024, the group's reportable segments were gas & low carbon energy, oil production & operations and customers & products. Each is managed separately, with decisions taken for the segment as a whole, and represents a single operating segment that does not result from aggregating two or more segments (see Financial statements – **Note 5**).

Gas & low carbon energy[a]

Comprises our gas & low carbon energy businesses. Our gas business includes regions with upstream activities that predominantly produce natural gas, integrated gas and power, and gas trading. Our low carbon business includes solar, offshore and onshore wind, hydrogen and carbon capture and storage (CCS), and power trading. Power trading includes trading of both renewable and non-renewable power.

$3.6bn
replacement cost (RC) profit before interest and tax[b]
(2023 $14.1bn)

$6.8bn
underlying RC profit before interest and tax★
(2023 $8.7bn)

Segment performance, **page 28**

Oil production & operations[a]

Comprises regions with upstream activities that predominantly produce crude oil, including bpx energy.

$10.8bn
RC profit before interest and tax[b]
(2023 $11.2bn)

$11.9bn
underlying RC profit before interest and tax
(2023 $12.8bn)

Segment performance, **page 31**

Customers & products

Comprises customer-focused businesses, which include convenience and retail fuels, EV charging, as well as *Castrol*, aviation and B2B and midstream. It also includes our products businesses, refining & oil trading, as well as our bioenergy[c] businesses.

$(1.6)bn
RC loss before interest and tax[b]
(2023 profit $4.2bn)

$2.5bn
underlying RC profit before interest and tax
(2023 $6.4bn)

Segment performance, **page 33**

Other businesses & corporate

Comprises technology; bp ventures; our corporate activities and functions; and any residual costs of the Gulf of America oil spill.

$(1.0)bn
RC loss before interest and tax[b]
(2023 loss $(0.9)bn)

$(0.6)bn
underlying RC loss before interest and tax
(2023 loss $(0.9)bn)

Segment performance, **page 36**



The *Gigahub* EV charging hub at the NEC in Birmingham, UK
Customers & products, **page 33**


bp's Xazar Centre office in Baku, Azerbaijan
Other businesses & corporate, **page 36**

a The Azerbaijan-Georgia-Türkiye and Middle East regions have been further subdivided by asset.
b IFRS requires that the measure of profit or loss disclosed for each operating segment is the measure that is provided regularly to the chief operating decision maker. For bp, this measure of profit or loss is replacement cost profit before interest and tax, which reflects the replacement cost of inventories sold in the period and is arrived at by excluding inventory holding gains and losses★ from profit before interest and tax. Replacement cost profit for the group is not a recognized measure under IFRS. For further information see Financial statements – Note 5.
c In February 2025 bp announced its intention to move its biogas business to the gas & low carbon energy segment.

★ See glossary on **page 351**

Chair's letter



Dear fellow shareholders,

Chief executive transition

The world bp operates in continues to change at pace. The past year has seen numerous elections, complex geopolitics and ongoing conflict, as well as significant climate events. At the same time, there has been progress in AI and technology and some signs of growth and prosperity in emerging economies. As a result, energy demand continues to rise with the supply of oil and gas, and renewable energy, reaching an all-time high.

For bp, there was leadership change, with a new CEO and CFO, and 2024 was a year of reshaping the portfolio and laying the foundation for growth and sustainable shareholder returns. Under Murray Auchincloss's leadership, bp has made significant moves, continuing to play its part in supplying the energy the world needs today and helping build out the energy system of tomorrow. We strengthened our oil and gas portfolio, expanded in biogas and bioenergy, and focused our hydrogen and wind projects – all leading to the fundamental strategy reset announced at our Capital Markets Update in February 2025.

Performance

Safety continues to be at the forefront of everything bp does, and the board and I would again like to recognize bp's teams for their work to reduce the most serious process safety incidents. This requires constant vigilance, robust processes and a willingness to speak up and act.

However, whether it is on the front line or on the board, bp can never take safety for granted. We were tragically reminded of this in October 2024 by the fatality in our bp bioenergy business in Brazil.

Many of bp's businesses performed well, including higher upstream★ production and strong plant reliability★, but it was a difficult year in parts of our customers & products business, particularly in refining. bp cannot control a tough price environment but it can address underlying performance – and the board believes that the comprehensive update of our strategy that we announced in February, combined with strong performance management processes, will help bp to do this.

Strategy reset

A lot has changed since we launched our strategy in 2020 – and bp has learned a lot. The pandemic has altered consumer behaviour, geopolitical tensions have increased the focus on security of supply, and although energy demand has risen to a high point, overall, growth has been weaker. Globally, inflation and rising interest rates have had an impact on the economics of major projects, particularly low carbon investments.

Because of all these factors, combined with our engagement with our shareholders and other important stakeholders, we reworked our strategy. Murray sets out how on the next page.

This is a new direction for bp. The board has worked closely with Murray and his leadership team throughout this reset, which has our full support. The reset builds on bp's distinctive strengths, learns from its challenges and represents deliberate choices and a conviction about the way forward. The next steps are clear. Now is about rigorous performance, and the board has an important role to play in overseeing the delivery of the strategy we have set out.

Culture and values

The board believes that the changes bp is making are positive and necessary for the future of the company, but we know change itself can be unsettling. This makes it more crucial than ever that bp maintains a strong culture and strong values. bp is rigorous about operational and safety processes, and must continue to be rigorous about care for others, our speak-up culture and psychological safety. As a board, we provide oversight and constructive challenge, and in doing so we routinely monitor bp's culture. I say more about this in the governance section on **page 70**.

Closing thanks

Thank you, particularly to bp's owners and bp's teams, in a year where bp has faced numerous challenges and worked hard to improve its performance and focus the organization. We are grateful to everyone who has given us their time, expertise, support – and challenged us too. This is your company and we believe it is now set to grow – and win – in a changing energy market.



Helge Lund
Chair
6 March 2025

Chief executive officer's letter

Dear fellow shareholders,

We've been in action throughout the past year materially reshaping bp's portfolio and laying the foundations for February's Capital Markets Update. This fundamental reset of our strategy demonstrates a clear focus on actions to drive performance improvement and grow cash flow and returns for bp's shareholders.

Safety first

In 2024, we made progress on safety, reducing the number of combined tier 1 and 2 process safety events★ for a second year in a row, with the most serious tier 1 events down significantly – but we have more to do. Our goal is to eliminate fatalities, life-changing injuries and the most serious process safety incidents. Tragically, one person died while working in our newly acquired bp bioenergy business in Brazil in October 2024. We must continue to embed and reinforce our Operating Management System★, Lifesaving Rules and Safety Leadership Principles across bp (see **page 56**). Nothing matters more than safety.

Financial and operating performance

We delivered strong performance in some areas in 2024 but had some challenges in others. For example, our upstream★ production was 2% higher than in 2023, and plant reliability★ was strong at over 95%, but there were difficulties in refining. Margins were lower and the power outage at Whiting in the first quarter contributed to a dip to 94.3% in our refining availability★.

This contributed to earnings of $38 billion[a] (adjusted EBITDA★) in 2024 and operating cash flow★ of $27.3 billion and resulted in:

- Profit for the year attributable to shareholders of $0.4 billion.
- Underlying replacement cost profit★ of $8.9 billion.
- Return on average capital employed★ of 14.2%[b].
- And net debt★ of $23 billion[c].

This allowed us to raise the dividend per ordinary share by 10% and announce $7 billion of share buybacks for the year.

Reshaping the portfolio

We've done more to reshape bp's portfolio in the last 12 months than in any year in the past 20 years. We started up a major project★ and sanctioned 10. We agreed new access in regions we know well, including in Iraq and India – at material scale. We formed a new joint venture, Arcius Energy, to develop gas in the Middle East with ADNOC's investment arm XRG. And we announced plans for JERA Nex bp, joining forces with one of the world's major power companies to create a leader in offshore wind development



– and helping to grow the scale of the business in a capital-light way for bp. We also now own 100% of bp bioenergy, one of the top-three sugarcane bioethanol producers in Brazil, and Lightsource bp, one of the world's leading solar developers. And we're investing with discipline in hydrogen and carbon capture, sanctioning four projects in 2024.

At the same time, we introduced our target to deliver at least $2 billion of savings[d] by the end of 2026, relative to 2023. We made strong progress on this, achieving structural cost reduction★ of $0.8 billion since the start of 2024.

Growing shareholder value

Having laid the foundations, we have fundamentally reset our strategy. This is a new direction. We've drawn on everything we've learned since 2020, while reflecting substantial changes to the external environment and using our deep-seated industrial skills and experience. The key elements are:

- First, a growing upstream. We're increasing planned investment by 20% to around $10 billion a year in oil and gas to help build more higher-returning major projects and increase exploration.
- Second, a focused downstream. We're focusing our portfolio around core integrated positions and taking action to improve performance. We expect to invest around $3 billion by 2027.
- Third, investing with discipline in the transition. We plan to pursue fewer and higher-returning opportunities, and access growth more efficiently. We now expect to invest between $1.5-2.0 billion per year into transition businesses★ through 2027[e] – more than $5 billion lower per year than our previous guidance.

All while continuing to drive value through our distinctive strengths in trading, technology and partnerships. And we are now guided by a more focused set of sustainability aims, the ones most relevant to our net zero ambition and the long-term success of bp (see **page 38**).

Thank you

There are very few companies of scale that can adapt at pace with society to meet demand from countries, companies and customers for more energy and lower carbon products. bp is one of them. I'm excited about our new direction and the significant opportunity we have to grow value for our shareholders.

I want to thank our brilliant team for their hard work, commitment and resilience through a period of extensive change. I also want to thank you, the owners of our business, for continuing to put your trust in our company.



Murray Auchincloss
Chief executive officer
6 March 2025

Nearest IFRS-equivalent measures

$1.2bn

profit for 2024[a]

0.5%

profit for 2024 attributable to bp shareholders divided by total equity at 31 December 2024[b]

$59.5bn

finance debt at the end of 2024[c]

a Adjusted EBITDA for the group is a non-IFRS measure and its nearest IFRS-equivalent measure is profit for the year 2024.
b ROACE is a non-IFRS measure and its nearest IFRS measures of numerator and denominator are profit for 2024 attributable to bp shareholders of $0.4 billion and total equity at the end of 2024 of $78.3 billion respectively.
c Net debt is a non-IFRS measure and its nearest IFRS-equivalent measure is finance debt at the end of 2024.
d Target first introduced in bp's first quarter 2024 group results announcement referred to as cash costs savings. Cash costs has the same meaning as underlying operating expenditure★.
e Excludes deferred consideration for 2024 acquisition of bp bioenergy in 2025.

★ See glossary on **page 351**

The operating environment

bp operates across volatile energy markets. Here we discuss broader economic trends we have observed that influence our sector as a whole.

The world economy grew by around 3%[a] in 2024. Growth rates varied widely across economies, with US GDP estimated to have grown by 2.8%[a], much stronger than had been expected at the start of the year[b]. By contrast, the eurozone economy expanded by only 0.8%[a]. China's growth is estimated to have been close to the government's 'around 5%' target[a].

Inflation continued to moderate around the world in 2024, moving towards central banks' target rates in most major economies. Cooling inflation allowed several central banks, including the US Federal Reserve, the European Central Bank and the Bank of England, to cut interest rates. Financial market prices suggest further interest rate reductions are expected during 2025.

Oil

Oil prices were elevated across much of 2024, supported by oil demand growth and OPEC production cuts. Dated Brent averaged $81/bbl[c] in 2024, broadly unchanged from $83/bbl[c] in 2023. A slowdown in Chinese oil demand growth to a quarter of its pre-COVID trend lowered global annual oil demand growth to 0.94mmb/d, causing total oil demand in 2024 to be 102.9mmb/d[d].

The slowdown in demand growth and outperformance of non-OPEC+ supply led to production cuts from OPEC+ in 2024. OPEC+ output averaged 49.8mmb/d in 2024 – around 900kb/d[d] lower than 2023. Saudi Arabia cut its output to just 9.0mmb/d in 2024, over 1mmb/d lower than its levels in the first half of 2023[d]. These reductions were more than offset by strong growth in non-OPEC+ supplies which increased by 1.5mmb/d in 2024[d], with the US accounting for almost half of that increase[d].

Natural gas

A relatively warm European winter in 2023-24 and muted European gas demand caused European and Asian natural gas prices to fall in early 2024. Prices troughed in February but had increased by 70%[e] by the end of December following strong Asian LNG demand growth and weak LNG supply growth.

Industry, power generation and transportation were the main sectoral drivers of that Asian LNG demand growth. European gas demand continued to decline due to lower power demand. Outages and project delays meant global LNG supply grew at a slow pace of 2.5% in 2024[f].

In the US, Henry Hub (HH) gas prices averaged $2.2/mmBtu[g], the lowest price level, in real terms, in the last 25 years. A warm US winter (2023-24) resulted in natural gas stocks 40%[h] above the five-year average by the end of March. Consequently, HH declined to levels needed to incentivize power sector coal-to-gas switching and lower natural gas production. Increases in power demand for air conditioning and data centres aided this rebalancing. The number of US gas rigs in key shale basins declined by 47% from its peak in 2022[i].

Refining marker margin

We use a global refining marker margin (RMM)★ to track the refining margin environment. Global RMM in 2024 continued the downward trajectory from 2023. An increase in refining capacity and a slowdown in demand growth for refined products meant RMM values averaged significantly lower in 2024 at $17.7/bbl ($8.1/bbl lower than in 2023)[j].

Power and renewables

Electricity demand growth continues to outpace total energy demand growth, driven by increasing electrification in developed economies and by growing prosperity and industrialization in emerging economies. Growing demand from data centres looks set to increase electricity demand materially in the coming years.

Total solar and wind capacity additions in 2024 are estimated to have exceeded 600GW, breaking the record set in 2023[k]. This surge was associated with significant overcapacity in solar manufacturing in China.

Bioenergy growth also maintained momentum, with resilient demand for liquid biofuels in road transport, increasing biomethane production, and increasing announced capacity of sustainable aviation fuel projects.

Hydrogen and carbon capture and storage

Persistent high costs, the slow pace of enabling policy and insufficient demand continue to challenge the decarbonization of costlier-to-abate processes with low carbon hydrogen. The project pipeline for production of low carbon hydrogen operational by 2030 remains significant, but only around 4Mtpa[l] is either currently operational or under construction. Green hydrogen★ costs are expected to be higher than those for blue hydrogen★ in many countries through this decade and beyond.

Carbon capture and storage (CCS) is increasingly being recognized as critical to the energy transition, and the global pipeline of CCS projects continued to grow in 2024. Operational and under-construction projects are expected to double to 100Mtpa[m] over the next few years. While this represents progress, the current project pipeline, taking into account relatively low historical success rates, appears insufficient to meet the CCS deployment rates in Paris-consistent transition scenarios[n].

Market activity	2024	2023
Global oil consumption[d]	**102.9mmb/d**	102.0mmb/d[q]
Global oil production[d]	**102.9mmb/d**	102.3mmb/d[q]
Natural gas consumption[f]	**4,212bcm**	4,097bcm[r]
Natural gas production[f]	**4,190bcm**	4,134bcm[r]
Dated Brent average[c]	**$80.76/bbl**	$82.64/bbl
West Texas Intermediate (WTI)★ average[o]	**$75.87/bbl**	$77.67/bbl
Henry Hub average[g]	**$2.19/mmBtu**	$2.53/mmBtu
Dutch Title Transfer Facility (TTF)★ average[e]	**34.4 euros per MWh ($10.9/ mmBtu)**	40.5 euros per MWh ($12.8/ mmBtu)
Japan-Korea (Asian) LNG average[p]	**$11.9/mmBtu**	$13.8/mmBtu
Refining marker margin[j]	**$17.7/bbl**	$25.8/bbl

a IMF World Economic Outlook, October 2024, measured on a Purchasing Power Parity basis.
b IMF World Economic Outlook Update, January 2024.
c Refinitiv Data Service (Dated Brent spot price).
d IEA Oil Market Report, January 2025.
e Platts Dutch TTF Day Ahead price.
f IEA Gas Market Report, Q1 2025.
g Platts Henry Hub cash price.
h Weekly Natural Gas Storage Report, EIA.
i EIA Short Term Energy Outlook, Appalachia and Haynesville regions.
j The RMM may not be representative of the margin achieved by bp in any period because of bp's particular refinery configurations and crude and product slates. In addition, the RMM does not include estimates of energy or other variable costs.
k *bp Energy Outlook 2024*; IRENA Stats; Wood Mackenzie Global Solar Forecasts. PV capacity additions are converted from DC to AC basis by dividing by ~1.2.
l WoodMac Lens; Hydrogen Project Pipeline data, October 2024.
m WoodMac Lens; CCUS Project Pipeline data, October 2024.
n Projects include capture projects either on a standalone basis or as part of a hub (sharing transport and storage facilities).
o Refinitiv Data Service (West Texas Intermediate).
p Platts JKM spot price.
q This number is restated from the *bp Annual Report and Form 20-F 2023* to reflect revisions made in the IEA Oil Market Report, January 2025.
r This number is restated from the *bp Annual Report and Form 20-F 2023* to reflect revisions made in the IEA Gas Market Report, Q1 2025.

Energy outlook

The *bp Energy Outlook 2024 (2024 Outlook)* explores the trends and uncertainties surrounding the energy transition out to 2050.

The bp Energy Outlook helps inform bp's core beliefs about the energy transition. The scenarios within it explore the possible implications of different judgements and assumptions concerning the nature of the energy transition. The uncertainty associated with the transition is substantial, and these scenarios are not predictions of what is likely to happen or what bp would like to see happen. We use the output from these scenarios to inform our strategic thinking.

We published the *2024 Outlook* in July 2024, designed around two scenarios informed by recent trends and developments in the global energy system. The *2024 Outlook* provides key insights about how the energy system may evolve over the next 25 years.

The two scenarios – Current Trajectory and Net Zero (see 'Two scenarios to explore the energy transition', below) – explore the speed and shape of the energy transition out to 2050 and help to shape a resilient strategy for bp.

Read the *bp Energy Outlook 2024*
bp.com/energyoutlook

A new theme discussed throughout the *2024 Outlook* centres on the challenge of moving from the current 'energy addition' phase of the energy transition to an 'energy substitution' phase. In this second phase, low carbon energy increases sufficiently quickly to more than match increases in global energy demand, allowing the consumption of fossil fuels, and their associated emissions, to decline.

Scenarios for strategic decision making

We use scenarios to inform strategy, manage risk, and improve decision making.

Some of the scenarios are based on climate and other policies currently in force, and on current global aims and pledges around the energy transition. Other scenarios are based on achieving a certain pace or degree of transition, and consider how the energy system might change to achieve that.

In thinking about appropriate scenarios to inform our strategy, we used both approaches.

How scenarios inform our strategy

The use of scenarios described in the *2024 Outlook*, and those from other organizations, aids our understanding of the energy transition and helps us to think about how different outcomes might impact our strategy.

The use of a broad range of scenarios to inform our strategy supports our efforts to make it robust and resilient to the range of uncertainty we face.

By considering various time horizons we can identify key milestones or signposts which might emerge over the next five, 10 or 25 years and inform our view of the key sources of uncertainty affecting the global energy system.

We actively monitor for changes in the external environment and refresh or review the scenarios as needed in response to these signals.

For the purposes of testing the resilience of our strategy to the range of uncertainty in the energy transition, we have used scenarios drawn from other credible sources such as the UN Principles for Responsible Investment (UN PRI) and the International Energy Agency (IEA). Read more on our resilience analysis and the outcome of that work on **page 50**.

How we create scenarios

We quantify a range of scenarios in the *2024 Outlook* using our global energy modelling system. This comprises a suite of models to help us understand the supply and demand dynamics of the global energy system.

The modelling framework uses historical data based on the Energy Institute's Statistical Review of World Energy, the IEA's World Energy Balances data and a range of other data sets.

Each scenario is determined by a set of key assumptions, including population and economic growth, pace of technological change, resource constraints and government policies. These are informed by expert analysis from external organizations including the United Nations, Oxford Economics and Rystad Energy. We benchmark our scenarios against external organizations including the IEA, the IPCC, and S&P Global.

The modelling techniques used vary by sector and include a combination of econometric modelling, adoption curves and consumer choice modelling.

Two scenarios to explore the energy transition

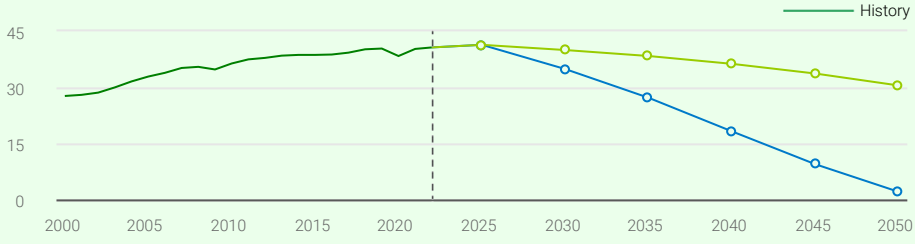
Carbon emissions Gt of CO_2e[a]

Current Trajectory

is designed to capture the broad pathway along which the global energy system is currently travelling. It places weight on climate policies already in force and on global aims and pledges for future decarbonization. At the same time, it also recognizes the myriad challenges associated with meeting these aims. CO_2 equivalent (CO_2e) emissions in Current Trajectory peak in the mid-2020s and by 2050 are around 25% below 2022 levels.

Net Zero

explores how different elements of the energy system might change to achieve a substantial reduction in carbon emissions. In that sense, Net Zero can be viewed as a 'what if' scenario: what elements of the energy system might change, and how, if the world collectively acts for CO_2e emissions to fall by around 95% by 2050.

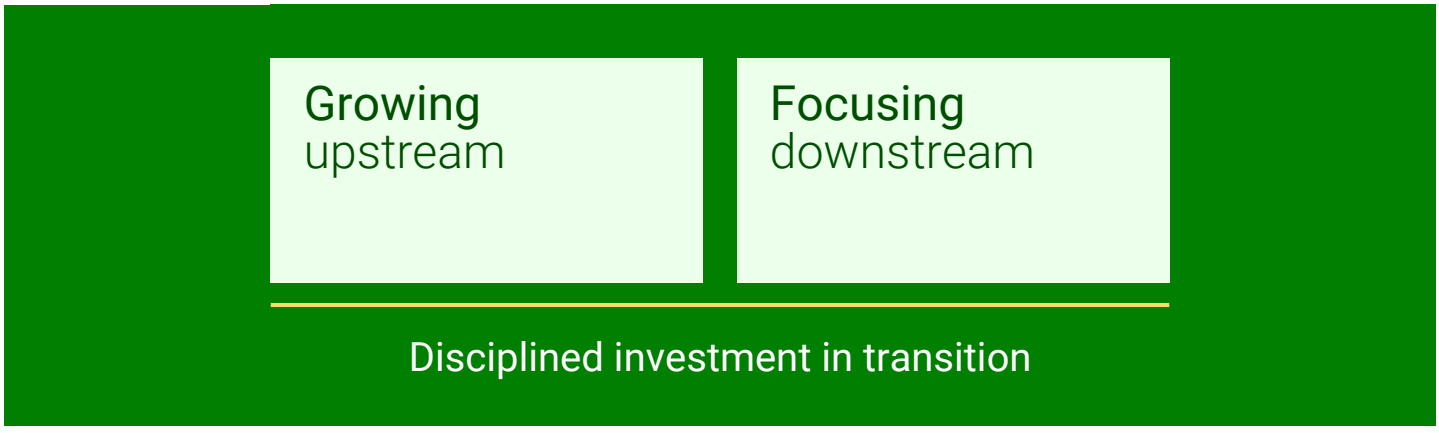


a Carbon emissions include CO_2 emissions from energy use, industrial processes, natural gas flaring and methane emissions from energy production.

★ See glossary on **page 351**

Our strategy

Resetting strategy



Growing the upstream: our oil and gas business

We plan to increase investment to grow production while also growing cash flow, in addition to disciplined expansion of biogas. Maintaining strong and safe operations throughout.

Focusing the downstream: our customers and products business

We are reshaping the portfolio to focus on markets and businesses where we have advantaged and integrated positions. We have clear actions to drive improved performance, including addressing costs in our customers business, and improving operations in refining.

Investing with discipline in transition

We plan to invest with discipline: with selective investment in biogas, biofuels and EV charging, where we see strong demand growth; adopting innovative capital-light partnerships in renewables; and focusing investment on hydrogen and carbon capture projects to support us in decarbonizing our operations, and position us for growth through the next decade. We now expect capital investment into transition businesses★ to be between $1.5-2.0 billion per year through 2027[a] – more than $5 billion lower per year than our previous guidance.

All while continuing to drive value through our distinctive strengths in trading, technology and partnerships.

Our primary targets

We have set out four primary targets that we will use to measure our progress and how we are improving performance. These targets, alongside the guidance and financial frame (see **page 18**), support our reset. Taken together, we believe our primary targets will underpin growth in the value of bp.

Adjusted free cash flow★ growth

>20%[b]

adjusted free cash flow compound annual growth rate (CAGR)★ from 2024-27

Net debt★

$14-18bn[c]

by end 2027

Structural cost reduction★

$4-5bn

by end 2027

Return on average capital employed (ROACE)★

>16%[b]

in 2027

a Excludes deferred consideration for 2024 acquisition of bp bioenergy in 2025.
b At $70/bbl Brent, $4/mmBtu Henry Hub, and $17/bbl refining marker margin, all 2024 real.
c Potential proceeds from any transactions related to *Castrol* strategic review and announcement to bring a strategic partner into Lightsource bp will be allocated to reduce net debt.